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Secure Distribution Venture Pvt. Ltd.

What Is Telecom Infrastructure Funding ?

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Chapter 1: Product Overview & Core Fundamentals of Telecom Infrastructure Funding

Telecom Infrastructure Funding represents a specialized category of long-term asset-backed corporate debt, structured project finance, and securitized credit facilities engineered to fund the capital-intensive deployment, expansion, and consolidation of shared passive telecommunications infrastructure in India. Unlike mobile network operators (MNOs)—such as Bharti Airtel, Reliance Jio, and Vodafone Idea—which hold active wireless spectrum licenses and direct end-user retail subscriber relationships, independent telecom infrastructure companies (TowerCos and FiberCos) operate under the Department of Telecommunications (DoT) Infrastructure Provider Category-I (IP-I) registration framework. They own and manage the physical, non-electronic passive infrastructure assets that support wireless and wired digital connectivity across the nation.

Under the Reserve Bank of India (RBI) Harmonized Master List of Infrastructure Sub-Sectors, telecommunications infrastructure occupies a privileged statutory position. Eligible assets include Ground-Based Towers (GBTs), Rooftop Towers (RTTs), dark and lit Fiber Optic Networks (FTTH and inter-city backhaul), Subsea Cable Landing Stations, In-Building Solutions (IBS), Distributed Antenna Systems (DAS), and Edge Data Center interconnect points. Granting infrastructure sub-sector status to telecom assets enables commercial banks, specialized Infrastructure Finance Companies (NBFC-IFCs), and Infrastructure Investment Trusts (InvITs) to extend long-term debt facilities (spanning 10 to 18 years) with lower risk-weighted capital provisioning, higher single-borrower exposure ceilings, and access to pension and insurance debt pools.

The core economic engine of telecom infrastructure funding relies on the 'shared passive infrastructure model.' Historically, MNOs built proprietary, captive towers, leading to massive capital duplication and low operating yields. The regulatory unbundling of passive infrastructure enabled independent TowerCos to lease the same physical tower structure to multiple competing MNOs. Because the incremental cost of adding a second or third tenant (anchoring additional antennas and base transceiver stations - BTS) to an existing tower is minimal relative to the initial ground construction cost, increasing the 'Tenancy Ratio' (tenants per tower) transforms operating EBITDA margins from 30% to over 65%, creating highly predictable, annuity-like cash flow streams ideal for servicing long-term wholesale debt.

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Table 1.1: Structural Comparison — Telecom Infrastructure Debt vs. Other Credit Products

Parameter	Telecom Infra Debt	General Commercial Real Estate	MNO Corporate Debt	Equipment Leasing
Asset Life & Amortization	15 to 25 Years; 10–18 Yr Debt	20 to 30 Years; 10–15 Yr LRD Debt	5 to 10 Years; 3–7 Yr Corporate Debt	3 to 7 Years; Short Amortization
Cash Flow Predictability	Ultra-High; 10–15 Yr Binding MSAs	High; 3–9 Yr Lease Agreements	Medium; Retail Subscriber Volatility	Medium-High; Corporate Leases
Tenancy Multiplier Impact	High; 1.0x to 2.2x+ Tenancy Expansion	Medium; Property Occupancy %	N/A; Single MNO Captive Use	N/A; Equipment Specific
Primary Collateral	Towers, Dark Fiber, MSA Cash Escrow	Commercial Land & Building Mortgage	Unsecured / Corporate Guarantee	Hypothecated Equipment Title
Regulatory Framework	DoT IP-I & RBI Infra Sub-Sector	State Real Estate (RERA) / Municipal	DoT Spectrum / License Regimes	Companies Act / Contract Act
Debt Sizing Basis	Net Debt / Operating EBITDA (3.5x–4.5x)	Loan-to-Value (LTV) & LRD Cash Flow	Corporate Balance Sheet Rating	Equipment Invoiced Cost (70%–80%)

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Chapter 2: Structural Architecture & Sub-Sector Financing Mechanics

The financial structural architecture of telecom infrastructure funding revolves around three primary sub-sector operating models: Shared Passive Tower Infrastructure (TowerCos), Neutral Host Fiber Optic Networks (FiberCos), and Infrastructure Investment Trusts (InvITs). In the TowerCo model, the infrastructure provider constructs Ground-Based Towers (typically 30 to 60 meters high requiring 200–400 sq. meters of leased ground land) or Rooftop Towers (10 to 20 meters high installed on commercial buildings). The passive asset package includes the galvanized steel lattice structure, civil foundation, perimeter fencing, shelter/cabinet, power connection, diesel generator (DG) set, smart rectifiers, and lithium-ion energy storage systems.

The contractual foundation of all telecom infrastructure financing is the Master Service Agreement (MSA). Executed between the IP-I TowerCo and telecom operators (MNOs), the MSA is a legally binding, long-term contract spanning 10 to 15 years with non-cancellable lock-in periods ranging from 5 to 10 years. Under the MSA, the MNO pays a fixed monthly Master Service Fee per tower site for passive hosting rights, alongside a variable energy reimbursement fee. MSAs feature built-in annual fee escalation clauses (typically 3.0% to 5.0% per annum or inflation-linked to CPI) and strict service level agreements (SLAs) guaranteeing 99.95% network uptime. Lenders underwrite telecom infrastructure facilities by discounting these long-term MSA cash flows through dedicated Escrow Trust & Retention Accounts (TRAs).

In the FiberCo sub-sector, infrastructure providers deploy underground and aerial fiber optic cables to connect tower sites (tower fiberization) and deliver Fiber-to-the-Home (FTTH) broadband. Fiber optic infrastructure is leased on a 'Dark Fiber' (unlit physical strands) or 'Lit Fiber' (managed bandwidth capacity) basis under long-term Indefeasible Rights of Use (IRU) agreements spanning 15 to 20 years. To optimize capital structure, large Indian telecom infrastructure portfolios are increasingly securitized into InvITs under SEBI regulations. InvITs raise low-cost institutional debt by issuing senior Non-Convertible Debentures (NCDs) backed by pooled tower/fiber cash flows.

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Table 2.1: Priority Escrow Trust & Retention Account (TRA) Cash Waterfall

Priority Rank	Cash Flow Destination	Description & Risk Ring-Fencing Mechanics
Priority 1	Statutory Taxes & GST	Direct transfer for GST liabilities (18%), land lease withholding taxes, and local municipal fees.
Priority 2	Approved O&M Expenses	Essential operational expenses: site ground leases, grid electricity bills, diesel fuel, and security maintenance.
Priority 3	Senior Debt Servicing	Monthly principal amortization and interest servicing for senior bank term loans and InvIT NCDs.
Priority 4	DSRA Replenishment	Automated replenishment of Debt Service Reserve Account (maintaining 2 quarters of debt service in FDs).
Priority 5	Maintenance CapEx Reserve	Earmarked reserve for battery replacement, solar panel upgrades, and structural tower retrofits.
Priority 6	Subordinated Debt / Surplus	Release of residual surplus cash flows to TowerCo sponsors or InvIT unit holders (subject to DSCR > 1.35x).

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Chapter 3: Regulatory, Statutory, Tax & Right of Way (RoW) Framework in India

Telecom Infrastructure Funding in India operates under a highly structured regulatory framework overseen by the Department of Telecommunications (DoT), the Telecom Regulatory Authority of India (TRAI), and municipal local bodies. Under the Telecommunications Act 2023 and the DoT IP-I Registration Guidelines, infrastructure providers are granted statutory authorization to establish, maintain, and lease passive assets to licensed telecom operators. IP-I registration requires maintaining clean corporate governance, compliance with foreign direct investment (FDI) limits (100% FDI is permitted under the automatic route), and filing annual audited statements with DoT.

A critical statutory milestone for telecom infrastructure underwriting is the Indian Telegraph Right of Way (RoW) Rules 2016 (as amended in 2022 and 2023) and integrated into the Telecommunications Act 2023. Historically, TowerCos faced severe operational friction due to arbitrary municipal charges, delayed tower erection permissions, and unauthorized site sealings. The updated RoW framework mandates single-window clearance portals across all States, caps one-time administrative RoW fees (e.g., INR 10,000 per tower and INR 1,000 per kilometer for fiber optic cable), establishes a 60-day 'deemed approval' rule, and prohibits local bodies from levying annual property taxes on mobile towers based on commercial subscriber revenue.

From an Indian tax engineering perspective, Section 35AD of the Income Tax Act 1961 provides a powerful incentive for telecom infrastructure. TowerCos and FiberCos deploying new infrastructure assets can claim a 100% deduction on capital expenditure incurred during the financial year (excluding land acquisition costs). Additionally, Section 36(1)(iii) grants full tax deductibility for borrowing interest expenses, reducing corporate tax liability (~25.17% tax shield). Under the Goods and Services Tax (GST) framework, infrastructure providers can fully utilize 18% Input Tax Credit (ITC) on steel structures, equipment shelters, lithium-ion batteries, and optical fiber cables, substantially optimizing capital deployment efficiency.

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Chapter 4: Common Eligibility Criteria & Institutional Underwriting Parameters

Institutional credit underwriting for telecom infrastructure projects requires rigorous quantitative assessment of portfolio scale, tenancy ratios, Master Service Agreement (MSA) lock-in periods, counterparty credit ratings, and debt service coverage metrics. Because telecom infrastructure represents long-term fixed asset deployment, commercial banks and InvIT lenders apply stringent financial and technical screening parameters before sanctioning credit facilities.

Table 4.1: Quantitative Eligibility & Credit Underwriting Benchmarks

Underwriting Metric	Minimum Threshold	Target Benchmark / Preferred Standard	Credit Impact & Risk Rationale
IP-I Standing & Track Record	3 Years Active Operations	5+ Years Track Record; 1,000+ Towers	Validates DoT regulatory compliance and operational maintenance capabilities.
Portfolio Tenancy Ratio	Minimum 1.35x Average	Target 1.65x to 2.20x+ Tenancy Ratio	Higher tenancy expands EBITDA margins from 35% to 65%+.
MSA Weighted Lock-In (WACT)	Minimum 5.0 Years	Preferred 7.0 to 12.0 Years Remaining	Ensures non-cancellable cash flows spanning debt service horizon.
Counterparty MNO Rating	Min. BBB / Escrow Trap	Preferred AA/AAA Rated (Airtel, Jio)	Secures prompt monthly MSA fee collection without credit default risk.
Debt Service Coverage (DSCR)	Minimum 1.35x Average	Target 1.50x to 1.75x Average DSCR	Provides cash cushion against site churn or power cost escalations.
Leverage Ceiling (Debt/EBITDA)	Maximum 4.50x Net Debt	Preferred 3.00x to 3.75x Net Debt/EBITDA	Prevents over-leveraging and maintains InvIT investment-grade rating.
Asset Cover Ratio (ACR)	Minimum 1.80x Cover	Target 2.00x to 2.25x Tangible Cover	Provides physical security cover over towers, fiber, and real estate.

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In addition to financial parameters, qualitative technical due diligence is mandatory. Lenders require structural engineering stability certificates for ground and rooftop towers, Standing Advisory Committee on Radio Frequency Allocation (SACFA) clearance letters from DoT confirming no aviation/defense signal interference, green energy transition plans (replacing diesel generators with solar-lithium hybrid power), and clean CIBIL Commercial rank (CMR 1 to 4).

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Chapter 5: Security Architecture, Collateral Controls & Master Documentation Suite

Telecom Infrastructure Funding relies on a robust 'Five-Pillar Security Package' designed to ring-fence cash flows and physical assets against borrower default or MNO commercial disputes:

- **Pillar 1 - Registered Legal Mortgage:** First exclusive registered legal mortgage over TowerCo-owned real estate land parcels, ground lease rights, and physical steel tower structures (maintaining 1.80x to 2.25x asset cover).
- **Pillar 2 - Hypothecation of Passive Assets & Receivables:** Primary hypothecation charge over all current assets, passive equipment (DG sets, smart rectifiers, lithium-ion battery banks, optical fiber cables), and present/future Master Service Agreement (MSA) fee receivables.
- **Pillar 3 - Exclusive Escrow TRA Account:** Mandatory routing of all monthly MNO service fee payments directly into a lender-monitored Escrow Trust & Retention Nodal Account.
- **Pillar 4 - Debt Service Reserve Account (DSRA):** Maintenance of a 2-quarter Debt Service Reserve Account in unencumbered fixed deposits or bank guarantees.
- **Pillar 5 - Structural Pledges & Guarantees:** 51% to 100% demat share pledge of the IP-I SPV equity shares, irrevocable Non-Disposal Undertakings (NDUs), and corporate/promoter guarantees.

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Table 5.1: Master Legal Documentation Suite for Telecom Infrastructure Funding

Document Instrument	Primary Contracting Parties	Core Legal Provisions & Statutory Perfection
Facility Agreement / Debenture Trust Deed (DTD)	Lenders / Debenture Trustee & Borrower	Defines sanction limits, interest pricing, DSCR covenants, negative pledges, and event-of-default remedies.
Escrow TRA Agreement	Lenders, Borrower, Escrow Bank & MNOs	Establishes priority cash waterfall, direct MNO deposit mandates, and debt service sweep protocols.
MSA Tripartite Assignment Deed	Lenders, Borrower & Telecom Operators	Assigns MSA cash flow rights to lenders and grants step-in rights to replace TowerCo operator upon default.
Deed of Hypothecation	Lenders / Debenture Trustee & Borrower	Hypothecates battery banks, solar units, fiber optic cables, rectifiers, and receivables under Section 77 Companies Act.
Statutory Charge Registration (Form CHG-1)	Borrower & Registrar of Companies (ROC)	Mandatory filing with MCA ROC within 30 days, CERSAI registry upload, and NeSL utility registration.

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Chapter 6: Indicative Tenure, Pricing Structure & Financial Economics

Telecom Infrastructure Funding is structured across three tenure horizons depending on project stage and capital source:

- **1. Greenfield Tower & Fiber Network Construction Debt:** 10 to 18 years door-to-door tenure featuring 18 to 24-month principal moratoriums matching site acquisition, RoW approvals, and tower erection schedules.
- **2. Brownfield Expansion & 5G Macro/Small Cell Upgrades:** 7 to 12 years tenure featuring 12-month principal moratoriums for fiberizing existing towers and deploying rooftop small cells.
- **3. InvIT Asset Refinancing & Portfolio Consolidation:** 10 to 20 years long-term door-to-door debt issued via senior InvIT NCDs to refinance operational portfolio debt at lower interest rates.

Pricing Architecture: Commercial Bank Senior Infrastructure Debt is priced at Repo / MCLR Benchmark + 150 to 275 bps (indicative 8.50% to 10.75% p.a.). Private Credit AIF NCDs and InvIT Senior Debt carry an All-In Yield of 11.50% to 14.50% p.a. (combining current cash coupons and exit premiums). Upfront processing fees range from 0.50% to 1.25% of sanctioned facility value.

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Chapter 7: Suitable Sub-Sectors, Business Profiles & Advantages/Limitations Matrix

Telecom Infrastructure Funding is best suited for Independent TowerCos (operating GBTs and RTTs), Neutral Host Fiber Optic Networks (FTTH and backhaul), Small Cell / In-Building Solution (IBS) Providers, Data Center Interconnect Providers, and SEBI-registered Telecom InvITs.

Table 7.1: Strategic Advantages vs. Structural Limitations Matrix

Category	Key Strategic Advantages	Structural Limitations & Risk Factors
Debt & Cash Flow Dynamics	10–18 year long debt door-to-door matching 15-year MSA contracts. Extremely stable annuity cash flows.	High initial capital intensity; debt servicing dependent on prompt monthly MNO fee payments.
Margin Expansion	Adding 2nd/3rd tenants to existing towers expands operating EBITDA margins from 35% to 65%+ with zero extra land capex.	Customer concentration risk; top 2 MNOs (Airtel, Jio) control majority market share.
Tax Efficiency	Section 35AD grants 100% tax deduction on capital expenditure; 18% GST Input Tax Credit fully utilized.	Section 35AD assets restricted from commercial sale for 8 years without tax clawback.
Asset Security	Tangible physical assets (towers, dark fiber) backed by non-cancellable escrowed MSAs.	Technology evolution (5G small cells replacing macro towers); RoW municipal approval frictions.

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Chapter 8: Comprehensive Real-World Case Study (INR 400 Crore Blended Telecom Facility)

Borrower Profile: Vanguard Telecom Infra Private Limited (VTIPL) is an independent DoT IP-I registered TowerCo operating 2,500 telecom towers across Maharashtra, Gujarat, and NCR. The existing portfolio maintained an average tenancy ratio of 1.45x, generating Annual Revenue of INR 220.00 Crores and Operating EBITDA of INR 99.00 Crores (45.0% EBITDA margin).

Project Expansion Scope: VTIPL secured 10-year Master Service Agreements with Bharti Airtel and Reliance Jio to deploy 1,200 new 5G-ready Ground-Based Towers (INR 280 Cr), fiberize 800 existing tower sites with 3,000 km of dark fiber optic cable (INR 80 Cr), replace diesel generators with solar hybrid lithium-ion power units (INR 25 Cr), and establish a 2-quarter DSRA & working capital buffer (INR 15 Cr), requiring a total capital deployment of INR 400.00 Crores.

Blended Capital Stack Structure:
• Tranche A - Senior Bank Infrastructure Project Debt: INR 280.00 Crores (70.0%) @ 9.25% p.a. floating (MCLR + 1.75%), 15-Year Amortization with 18-Month Construction Moratorium.
• Tranche B - InvIT / Private Credit NCDs (Category II AIF): INR 120.00 Crores (30.0%) @ 10.50% Cash + 3.00% PIK + 1.50% Exit Fee = 15.00% All-In YTM (8-Year Tenure, 18-Month Moratorium, 2.25x Asset Cover).

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Table 8.1: 5-Year Financial Scaling & Cash Flow Model (INR Crores)

Financial Metric	Pre-Expansion	Year 1 (Capex)	Year 2 (5G Rollout)	Year 3 (Stabilized)	Year 5 (Peak)
Total Operational Towers	2,500 Towers	3,100 Towers	3,700 Towers	3,700 Towers	3,700 Towers
Average Tenancy Ratio	1.45x Tenancy	1.52x Tenancy	1.65x Tenancy	1.75x Tenancy	1.82x Tenancy
Total Tenancies Hosted	3,625 Tenancies	4,712 Tenancies	6,105 Tenancies	6,475 Tenancies	6,734 Tenancies
Annual Gross Revenue	₹ 220.00 Cr	₹ 298.00 Cr	₹ 410.00 Cr	₹ 452.00 Cr	₹ 484.80 Cr
Operating EBITDA	₹ 99.00 Cr	₹ 143.04 Cr	₹ 213.20 Cr	₹ 244.08 Cr	₹ 266.64 Cr
EBITDA Margin %	45.0 %	48.0 %	52.0 %	54.0 %	55.0 %
Senior Debt Service (Tranche A)	₹ 18.50 Cr	₹ 25.90 Cr (Interest)	₹ 38.20 Cr	₹ 36.80 Cr	₹ 34.10 Cr
Debt Service Coverage (DSCR)	1.62x Cover	1.42x Cover	1.85x Cover	2.65x Cover	3.20x Cover
Enterprise Value (10x EBITDA)	₹ 990.00 Cr	₹ 1,430.40 Cr	₹ 2,132.00 Cr	₹ 2,440.80 Cr	₹ 2,666.00 Cr

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Financial Outcome: By Year 5, VTIPL expanded its tower network from 2,500 to 3,700 towers, while tenancy ratios scaled from 1.45x to 1.82x. Annual gross revenue expanded by +120.4% to INR 484.80 Crores, while operating EBITDA expanded to INR 266.64 Crores (55% margin). The project strengthened DSCR to 3.20x, allowing VTIPL to refinance Tranche B debt through a public InvIT listing at a 10x EBITDA valuation (INR 2,666.00 Crores Enterprise Value), preserving 100% promoter equity control.

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Chapter 9: Legal Enforcement, Default Protocols & Insolvency (IBC 2016) Integration

In the event of a borrower default, telecom infrastructure lenders possess robust legal enforcement mechanisms under Indian statutory law:

- **1. SARFAESI Act 2002 Enforcement:** Lenders issue Section 13(2) 60-day demand notices, followed by Section 13(4) physical possession powers over commercial land, towers, and optical fiber assets without court intervention.
- **2. Insolvency and Bankruptcy Code (IBC) 2016 Integration:** Telecom infrastructure lenders hold Financial Creditor status under Section 5(8), allowing Section 7 Corporate Insolvency Resolution Process (CIRP) initiation before NCLT upon a payment default exceeding INR 1.00 Crore.
- **3. Section 176 Contract Act Share Pledge Enforcement:** Debenture Trustees exercise statutory powers to invoke demat pledges in NSDL/CDSL depositories and execute open-market block sales upon 3–5 day default notice without court intervention.

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Chapter 10: Rookie Mastery Examination (15 High-Yield Test Q&As)

Q1: What is the statutory role of a DoT IP-I registration in Telecom Infrastructure Funding?

Answer: An Infrastructure Provider Category-I (IP-I) registration issued by the Department of Telecommunications (DoT) legally authorizes independent companies to establish, maintain, and lease passive telecom infrastructure (towers, dark fiber, duct space) to licensed mobile network operators (MNOs). Having a valid IP-I registration is a mandatory statutory prerequisite for securing bank infrastructure debt.

Q2: Why are telecom towers and fiber networks classified under the RBI Harmonized Infrastructure List?

Answer: Classification under the RBI Harmonized Master List of Infrastructure Sub-Sectors unlocks long-term debt facilities (10 to 18 years), lower risk-weighted capital provisioning for commercial banks, access to external commercial borrowings (ECB), access to pension/insurance funds, and higher single-borrower exposure ceilings.

Q3: Explain the economic significance of the 'Tenancy Ratio' in TowerCo underwriting.

Answer: Tenancy ratio represents the average number of telecom operators (tenants) hosting antennas on a single tower. Because adding a second or third tenant requires minimal incremental capex, increasing tenancy from 1.0x to 1.8x expands operating EBITDA margins from ~35% to over 65%, dramatically increasing debt service capacity.

Q4: What are the core provisions of a Master Service Agreement (MSA)?

Answer: An MSA is a 10-to-15 year binding contract between a TowerCo and an MNO specifying monthly hosting fees, non-cancellable lock-in periods (5–10 years), 3%–5% annual fee escalation terms, 99.95% uptime SLAs, and energy cost pass-through terms.

Q5: How does the Indian Telegraph Right of Way (RoW) Rules 2023 benefit infrastructure deployment?

Answer: The updated RoW Rules establish single-window state portals, cap one-time administrative fees (e.g., INR 10,000 per tower, INR 1,000/km for fiber), enforce a 60-day 'deemed approval' rule, and prohibit local municipal bodies from levying property taxes based on MNO subscriber revenue.

Q6: How does Section 35AD of the Income Tax Act 1961 incentivize telecom infrastructure capex?

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Answer: Section 35AD grants a 100% tax deduction on capital expenditure incurred during the financial year for deploying new telecom infrastructure assets (excluding land costs), creating a substantial cash tax shield in early operational years.

Q7: Describe the Escrow TRA cash flow waterfall for telecom infrastructure debt.

Answer: Priority 1: Statutory Taxes & GST; Priority 2: Approved O&M (power, fuel, site ground leases); Priority 3: Senior Debt Amortization & Interest; Priority 4: DSRA Replenishment; Priority 5: Maintenance CapEx Reserve; Priority 6: Residual Surplus Release.

Q8: What is the typical weighted average lock-in contract term (WACT) required by lenders?

Answer: Lenders require a WACT of at least 5.0 years (preferably 7.0 to 12.0 years) across the MSA portfolio to ensure non-cancellable cash flows fully cover the senior debt service horizon.

Q9: What is the difference between 'Dark Fiber' and 'Lit Fiber' leasing?

Answer: Dark Fiber involves leasing unlit physical optical fiber strands under long-term Indefeasible Rights of Use (IRU) where the lessee provides electronic equipment. Lit Fiber involves leasing managed bandwidth capacity where the FiberCo provides active transmission equipment.

Q10: What is the role of an Infrastructure Investment Trust (InvIT) in telecom debt refinancing?

Answer: InvITs pool operational, cash-generative tower and fiber portfolios, raising low-cost long-term institutional debt by issuing senior NCDs to pension/insurance funds, reducing borrowing costs by 200–300 bps.

Q11: What is a SACFA clearance and why do lenders require it?

Answer: Standing Advisory Committee on Radio Frequency Allocation (SACFA) clearance from DoT confirms that a mobile tower's height and frequency emissions do not interfere with aviation flight paths or defense communications.

Q12: What constitutes the 'Five-Pillar Security Package' in telecom infra funding?

Answer: 1) First registered legal mortgage over real estate land & towers; 2) Hypothecation of passive equipment, batteries, fiber, and receivables; 3) Exclusive Escrow TRA Account; 4) 2-quarter DSRA in FDs; 5) 51%–100% demat SPV share pledge & guarantees.

Q13: How does the Goods and Services Tax (GST) Input Tax Credit (ITC) apply to TowerCos?

Answer: TowerCos fully utilize 18% GST Input Tax Credit on steel lattice structures, equipment shelters, lithium-ion battery banks, and fiber cables against output GST collected on monthly MNO service fees.

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Q14: What is the typical DSCR and Leverage ceiling required for telecom infra facilities?

Answer: Lenders require a minimum average DSCR of 1.35x to 1.55x and cap Net Debt / Operating EBITDA at 3.50x to 4.50x.

Q15: What statutory rights do telecom lenders possess under IBC 2016 upon default?

Answer: Telecom lenders hold Financial Creditor status under Section 5(8) with Section 7 CIRP initiation rights before NCLT, while MSA agreements ensure MNO service fees continue flowing into the Escrow TRA account during resolution.

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